# CAPITAL IMPROVEMENT PLAN

Westgate Station District | Kansas City, MO

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|---|---|
| **Property** | Westgate Station District |
| **Plan Date** | September 8, 2025 |
| **Prepared For** | Sunbelt Ridge Acquisitions |
| **Total Plan Budget** | $70,000 |

## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Sewer line repair | Building | 08/25/26 | Q1 2026 | $419,000 | $358,930 | Complete |
| Pool resurfacing | Building | 01/04/25 | Q1 2027 | $323,000 | $35,897 | Approved |
| HVAC replacement | Interior | 04/07/23 | Q4 2026 | $853,000 | $462,287 | Complete |
| Elevator modernization | Life Safety | 04/11/24 | Q3 2027 | $802,000 | $168,228 | Complete |
| Unit interior upgrades | Building | 08/28/23 | Q4 2027 | $159,000 | $53,823 | Approved |
| Unit interior upgrades | Interior | 07/02/25 | Q2 2025 | $226,000 | $123,011 | Approved |
| ADA compliance | Energy | 04/23/24 | Q3 2027 | $341,000 | $200,770 | Deferred |
| Water heater replacement | Site | 09/15/25 | Q4 2026 | $209,000 | $12,667 | Bidding |
| Roof replacement - Bldg A | Life Safety | 06/02/26 | Q4 2025 | $567,000 | $538,141 | In progress |
| Fire alarm panel upgrade | Life Safety | 08/11/24 | Q1 2026 | $287,000 | $171,279 | Complete |
| Pool resurfacing | Interior | 02/01/26 | Q3 2026 | $121,000 | $79,209 | In progress |
| ADA compliance | Building | 12/16/25 | Q1 2027 | $294,000 | $127,289 | Deferred |
| HVAC replacement | Energy | 10/21/26 | Q3 2027 | $532,000 | $288,117 | Bidding |
| Elevator modernization | Interior | 11/13/26 | Q2 2026 | $354,000 | $368,023 | Bidding |
| Unit interior upgrades | Life Safety | 09/14/23 | Q3 2026 | $685,000 | $695,630 | In progress |
| Storefront glazing | Energy | 10/31/26 | Q2 2027 | $565,000 | $30,509 | Approved |
| Roof replacement - Bldg D | Interior | 03/30/26 | Q2 2026 | $20,000 | $18,579 | Approved |
| Security camera upgrade | Interior | 01/20/25 | Q1 2027 | $886,000 | $797,377 | In progress |
| Lobby renovation | Energy | 04/07/25 | Q1 2027 | $827,000 | $710,074 | Deferred |
| HVAC replacement | Life Safety | 09/03/24 | Q4 2027 | $668,000 | $47,047 | Complete |
| Security camera upgrade | Interior | 06/26/26 | Q3 2027 | $231,000 | $146,055 | Approved |
| Signage / monument | Life Safety | 07/15/26 | Q4 2026 | $319,000 | $118,848 | Approved |
| Exterior paint | Interior | 05/22/24 | Q4 2025 | $711,000 | $727,722 | Approved |
| Fence replacement | Energy | 01/09/24 | Q4 2026 | $808,000 | $821,707 | In progress |

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Door hardware | Energy | 10/14/26 | Q3 2025 | $153,000 | $56,180 | Bidding |
| Security camera upgrade | Energy | 01/20/26 | Q1 2026 | $629,000 | $501,254 | Deferred |
| ADA compliance | Life Safety | 01/20/26 | Q1 2026 | $214,000 | $8,839 | Approved |
| Signage / monument | Interior | 01/24/23 | Q3 2025 | $59,000 | $12,105 | Approved |
| Exterior paint | Energy | 12/22/24 | Q4 2026 | $414,000 | $211,427 | Deferred |
| ADA compliance | Building | 06/18/23 | Q3 2025 | $593,000 | $386,352 | In progress |
| Sewer line repair | Interior | 07/28/24 | Q2 2026 | $61,000 | $54,351 | Deferred |
| Signage / monument | Energy | 07/14/23 | Q1 2026 | $243,000 | $185,196 | Complete |
| Exterior paint | Energy | 06/27/26 | Q4 2027 | $291,000 | $66,227 | Deferred |
| ADA compliance | Site | 09/09/24 | Q1 2025 | $102,000 | $96,462 | In progress |
| Elevator modernization | Site | 08/15/25 | Q2 2026 | $351,000 | $249,295 | Bidding |
| HVAC replacement | Interior | 08/19/26 | Q3 2026 | $103,000 | $65,586 | Deferred |
| Roof replacement - Bldg D | Energy | 01/21/23 | Q1 2027 | $22,000 | $6,434 | In progress |
| ADA compliance | Interior | 02/26/25 | Q1 2025 | $412,000 | $16,050 | Deferred |
| Door hardware | Site | 05/20/24 | Q4 2026 | $459,000 | $132,322 | In progress |
| Amenity renovation | Energy | 10/07/25 | Q2 2026 | $134,000 | $67,451 | In progress |
| Fence replacement | Interior | 01/29/26 | Q3 2025 | $454,000 | $124,918 | Approved |
| Lobby renovation | Energy | 02/26/23 | Q4 2026 | $559,000 | $1,978 | Complete |
| Roof replacement - Bldg C | Energy | 06/05/23 | Q1 2026 | $543,000 | $544,845 | In progress |
| Exterior paint | Site | 10/27/23 | Q3 2025 | $765,000 | $212,661 | Approved |
| ADA compliance | Interior | 12/06/23 | Q4 2027 | $730,000 | $79,257 | Deferred |
| Door hardware | Energy | 07/24/26 | Q1 2026 | $204,000 | $98,836 | Deferred |
| Signage / monument | Life Safety | 01/01/23 | Q4 2027 | $335,000 | $49,339 | Bidding |
| Water heater replacement | Life Safety | 11/05/26 | Q1 2027 | $318,000 | $134,093 | Bidding |
| Fence replacement | Site | 04/12/25 | Q3 2025 | $187,000 | $149,947 | In progress |
| Parking lot resurfacing | Building | 11/05/23 | Q2 2025 | $836,000 | $511,407 | Complete |
| Storefront glazing | Site | 05/25/26 | Q2 2026 | $33,000 | $7,821 | Complete |
| Door hardware | Building | 02/13/23 | Q3 2026 | $880,000 | $569,391 | Deferred |
| Door hardware | Life Safety | 01/16/24 | Q3 2025 | $478,000 | $141,230 | Bidding |
| Amenity renovation | Building | 11/27/24 | Q3 2025 | $381,000 | $366,488 | Approved |
| Elevator modernization | Site | 02/14/24 | Q3 2025 | $325,000 | $314,803 | Bidding |
| Signage / monument | Building | 01/19/25 | Q1 2026 | $52,000 | $42,651 | Approved |
| Door hardware | Energy | 11/21/23 | Q4 2025 | $643,000 | $195,455 | Complete |
| Security camera upgrade | Building | 07/27/25 | Q1 2026 | $574,000 | $458,266 | Deferred |
| Parking lot resurfacing | Interior | 02/29/25 | Q4 2026 | $511,000 | $444,487 | Bidding |
| Storefront glazing | Site | 07/11/26 | Q3 2025 | $760,000 | $683,419 | Bidding |
| Exterior paint | Energy | 07/07/25 | Q4 2026 | $49,000 | $23,062 | Bidding |
| Fire alarm panel upgrade | Site | 05/07/25 | Q1 2025 | $488,000 | $260,366 | Bidding |
| Amenity renovation | Life Safety | 10/24/23 | Q1 2026 | $613,000 | $469,494 | Deferred |
| Amenity renovation | Site | 01/12/25 | Q1 2026 | $220,000 | $23,571 | Approved |
| Parking lot resurfacing | Building | 10/23/24 | Q1 2026 | $14,000 | $6,565 | Complete |

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## Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $340,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Elevators were last modernized 6 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

## Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

## Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 47 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

## Risk Considerations

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Projected levered IRR is 7.1% with an equity multiple of 1.22x over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 40 structured parking spaces shared between uses. Projected levered IRR is 3.8% with an equity multiple of 1.21x over the hold period.

## Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $203,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Elevators were last modernized 7 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $98,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

## Risk Considerations

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Water heater replacement | Energy | 03/30/25 | Q1 2026 | $543,000 | $162,441 | Bidding |
| Security camera upgrade | Site | 05/22/25 | Q3 2027 | $823,000 | $259,173 | Bidding |
| Sewer line repair | Energy | 12/27/24 | Q2 2026 | $179,000 | $122,395 | Approved |
| Roof replacement - Bldg B | Energy | 03/24/24 | Q1 2026 | $871,000 | $369,040 | In progress |
| Lobby renovation | Life Safety | 05/17/23 | Q3 2027 | $336,000 | $164,826 | Bidding |
| Signage / monument | Life Safety | 08/28/26 | Q1 2026 | $844,000 | $464,700 | Complete |
| Door hardware | Building | 07/09/26 | Q1 2025 | $566,000 | $460,284 | Complete |
| Storefront glazing | Energy | 03/08/25 | Q2 2027 | $373,000 | $109,330 | Approved |
| Amenity renovation | Energy | 08/28/23 | Q1 2026 | $548,000 | $257,918 | Approved |
| Fence replacement | Energy | 08/14/23 | Q2 2027 | $404,000 | $290,016 | Complete |
| Fire alarm panel upgrade | Site | 02/18/24 | Q4 2027 | $48,000 | $35,283 | In progress |
| Roof replacement - Bldg A | Interior | 03/20/25 | Q3 2026 | $600,000 | $464,616 | Bidding |
| Storefront glazing | Energy | 05/10/26 | Q3 2025 | $211,000 | $44,006 | Complete |
| Sewer line repair | Interior | 07/29/23 | Q3 2027 | $634,000 | $143,272 | Bidding |
| Pool resurfacing | Energy | 08/14/23 | Q2 2025 | $755,000 | $592,689 | Deferred |
| Parking lot resurfacing | Site | 05/24/24 | Q2 2027 | $221,000 | $108,900 | In progress |
| Pool resurfacing | Life Safety | 01/26/26 | Q1 2027 | $556,000 | $520,622 | Approved |
| Elevator modernization | Site | 11/27/26 | Q3 2026 | $284,000 | $69,588 | In progress |
| LED lighting retrofit | Life Safety | 07/02/26 | Q2 2026 | $865,000 | $491,894 | Complete |
| ADA compliance | Building | 04/16/25 | Q2 2026 | $578,000 | $500,502 | Approved |
| Fence replacement | Life Safety | 06/05/25 | Q1 2027 | $96,000 | $80,787 | Approved |
| Signage / monument | Building | 01/14/25 | Q3 2026 | $84,000 | $30,709 | Deferred |
| Water heater replacement | Life Safety | 04/30/26 | Q2 2027 | $120,000 | $71,247 | In progress |
| Parking lot resurfacing | Interior | 09/26/26 | Q4 2025 | $261,000 | $208,944 | Bidding |
| Security camera upgrade | Building | 11/17/23 | Q4 2027 | $587,000 | $363,755 | Deferred |
| ADA compliance | Life Safety | 10/11/24 | Q1 2026 | $377,000 | $370,446 | Bidding |
| Sewer line repair | Site | 11/16/25 | Q1 2026 | $684,000 | $33,511 | Bidding |
| HVAC replacement | Life Safety | 05/01/24 | Q2 2025 | $148,000 | $74,255 | Bidding |
| Amenity renovation | Life Safety | 05/28/26 | Q4 2025 | $544,000 | $244,567 | Deferred |
| Exterior paint | Life Safety | 11/03/24 | Q3 2026 | $127,000 | $110,151 | Approved |
| Signage / monument | Building | 06/26/23 | Q3 2027 | $195,000 | $66,488 | Deferred |
| Fence replacement | Energy | 12/06/24 | Q1 2026 | $386,000 | $155,576 | Approved |
| Water heater replacement | Interior | 03/25/23 | Q4 2026 | $229,000 | $171,473 | Approved |
| Fire alarm panel upgrade | Interior | 04/21/23 | Q4 2026 | $269,000 | $195,805 | Approved |
| LED lighting retrofit | Interior | 09/03/25 | Q2 2025 | $24,000 | $22,650 | Bidding |
| Fire alarm panel upgrade | Building | 01/22/25 | Q3 2025 | $98,000 | $18,420 | Deferred |
| Door hardware | Life Safety | 09/16/25 | Q2 2026 | $601,000 | $106,069 | Complete |
| Lobby renovation | Interior | 05/31/23 | Q3 2026 | $571,000 | $510,487 | Complete |
| Signage / monument | Site | 10/03/25 | Q2 2025 | $779,000 | $754,291 | Complete |
| Fire alarm panel upgrade | Site | 10/04/24 | Q4 2027 | $862,000 | $737,468 | Approved |
| Exterior paint | Life Safety | 06/14/24 | Q4 2027 | $841,000 | $357,084 | In progress |
| Door hardware | Building | 12/18/24 | Q4 2025 | $83,000 | $32,610 | In progress |

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## Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 9 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 8 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months.

## Business Plan Progress

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Projected levered IRR is 12.5% with an equity multiple of 1.24x over the hold period.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Projected levered IRR is 3.2% with an equity multiple of 1.4x over the hold period. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

## Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 4 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 6 years ago and are operating without deficiency.

## Business Plan Progress

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 15 structured parking spaces shared between uses. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Projected levered IRR is 9.0% with an equity multiple of 1.16x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

## Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $286,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 6 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $97,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 4 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months.

## Investor Distributions

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# Summary and Notes

## Valuation Discussion

Debt service coverage ratio was 6.15x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $259,000, representing a 8.8% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Operating expenses totaled $425,000 or approximately 41.58 per square foot, with real estate taxes representing the largest line item. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

The property is walkable to transit, with 33 structured parking spaces shared between uses. Debt service coverage ratio was 7.86x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $34,000, representing a 11.0% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

## Leasing and Marketing

The property is walkable to transit, with 31 structured parking spaces shared between uses. Collections for the period were 89.2% of billed charges, with bad debt of 5.2% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. The property is walkable to transit, with 16 structured parking spaces shared between uses. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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